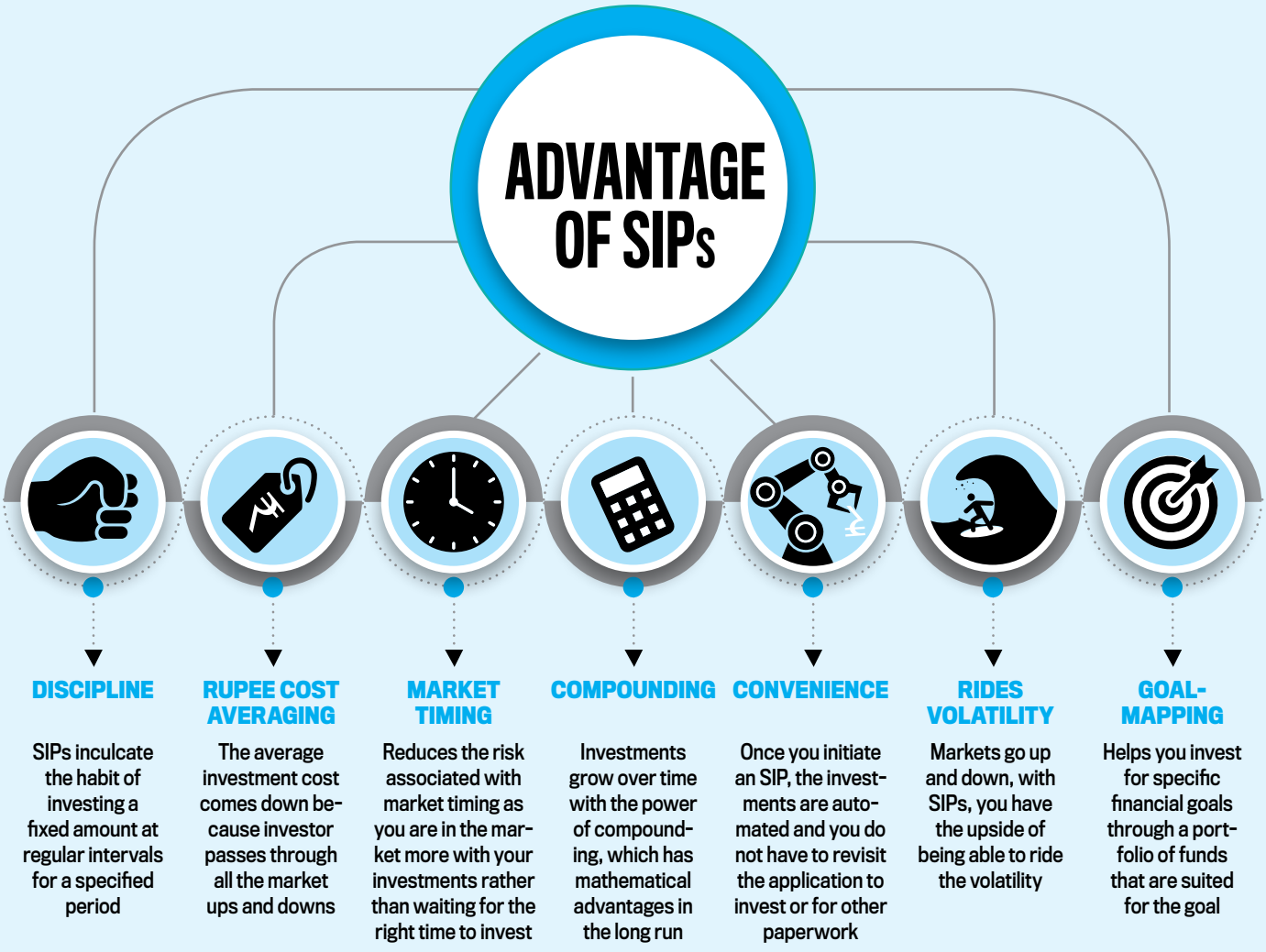


ey is managed by specialists, mutual funds can help you diversify investments and reduce the investment risk.

Within the schemes, each AMC has to offer both a regular plan (one where the mutual fund distributor selling the fund earns a commission) and a direct plan (one that an investor can directly invest with the AMC). Often, to save on the commission that the distributor earns, investors take the plunge to invest directly and even succeed. But several investors who have tried their hand on the direct route have often had unfavourable outcomes. At the core of mutual fund investments rest massive amounts of insight, nuance, experience and data analysis and simulation models.

↘ RIGHT APPROACH TO MUTUAL FUND INVESTING

For the common investor, the problem of investing through mutual funds is about seeking favourable answers to several simple as well as difficult questions. Which fund to choose? When to invest? How to invest? Differences between signal and noise—when the markets go down because of an event such as the lockdown in the pandemic, it doesn't mean it is the end of the stock markets. The list is long, but it shows just how

AN SIP IS A FINANCIAL PLANNING TOOL THAT HELPS INVESTORS CREATE WEALTH AND ACHIEVE THEIR LONG-TERM FINANCIAL GOALS

difficult and nuanced the challenge of investing can be. Usually, investors start by looking at the returns posted by a fund scheme, say the top performer in a year and look no further. But, zeroing down on a fund scheme calls for much more understanding.

First of all, investors should answer what they are investing for, like a goal that they wish to reach. Next, they should be able to understand their ability to take risk with their investment. Based on these two factors, they can zero in on a fund scheme that meets their requirements. After this step, they need to choose from funds that have a performance track record and history. Investing in a consistently performing fund scheme over down and up market cycles is desirable and that is something investors should consider.

One can invest directly in a fund scheme or use